

26STCV08434 26STCV08434

County: los-angeles

Division: Civil Law and Motion

Department: 733

Hearing date: 2026-09-22

Motion: DEFENDANT RAZMIG MAHROUK'S DEMURRER TO COMPLAINT

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C733%2C09%2F22%2F2026

Source SHA-256: fcb95f1e724f73f1ec874f20bbd7f59bc92fe1480525ee507abe67296ab57b05

Case Number: 26STCV08434 Hearing Date: September 22, 2026 Dept: 733

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES

ANTELOPE

VALLEY SHOP, LLC, a Delaware limited liability company,

Plaintiff,

vs.

RAZMIG MAHROUK, an individual; MATTHEW WOOTEN, an individual; and Does 1 through 10 inclusive,

Defendants.

)

)

)

)

)

)

)

)

)

)

)

CASE

NO.: 26STCV08434

[TENTATIVE] ORDER RE: DEFENDANT
RAZMIG MAHROUK'S DEMURRER TO COMPLAINT

Dept. 733

8:30 a.m.

September 22, 2026

I.

INTRODUCTION

On March 16, 2026,
Plaintiff Antelope Valley Shop, LLC ("Plaintiff" or "Landlord") filed a
complaint against Defendants Razmig Mahrouk ("Mahrouk") and Matthew Wooten
("Wooten") ("Defendants"), alleging causes of action for (1) Fraudulent
Concealment, (2) Fraudulent Transfer in Violation of Civil Code
§ 3439.04(A)(1), (3) Constructive Fraudulent Transfer in Violation of
Civil Code § 3439.04(A)(2), (4) Voidable Transfer Under Civil Code
§ 3439.05, (5) Violation of Business and Professions Code § 17200,
et. seq., (6) Constructive Trust, (7) Breach of Fiduciary Duty, and (8)
Intentional Interference with Contractual Relations.

Plaintiff alleges
the following.

Mahrouk was and is now an individual doing business in the County of Los Angeles, State of California. Mahrouk has served as the Director of Operations of Dog Haus Worldwide, LLC ("Dog Haus") since April 2020. Mahrouk previously served as the Operations Manager from April 2018 to April 2020 and served Dog Haus in that same capacity from August 2015 to April 2018, (Compl., ¶ 2.)

Mahrouk and Wooten were and are owners, officers, principals, managing members, and/or managing agents of the tenant Mahwoot, LLC ("Mahwoot" or "Tenant"). (Id. ¶ 4.)

On or about August 16, 2016, Forest City Harris AVM, LLC, a Delaware limited liability company ("Original Landlord"), as landlord, and Adamshak, Inc., a California corporation ("Adamshak"), as tenant, entered into a Lease (the "Lease") for an initial term of ten (10) Lease Years for a restaurant space identified as Unit Number 1432, located at the Antelope Valley Mall, 1233 W Rancho Vista Blvd, Palmdale, CA 93551 in Los Angeles County (the "Premises"). (Id. ¶ 11, Ex. A.) On or about January 30, 2017, Original Landlord and Adamshak entered into that certain First Amendment of Lease (the "First Amendment"). (Id. ¶ 18., Ex. B.)

On or about February 5, 2021, the Lease was assigned from Adamshak to Mahwoot under that certain Second Amendment of Lease (the "Second Amendment"). (Id. ¶ 19., Ex. C.) Mahrouk and Wooten executed the Limited Guaranty in favor of Landlord, guaranteeing the full performance and observance of all covenants, conditions, and agreements to be performed and observed by Tenant under the Lease. (Id. ¶ 21.) The Limited Guaranty provided that it would remain in effect for three years following the effective date of the assignment. (Id. ¶ 22.)

Mahwoot operated a Dog Haus restaurant at Unit No. 1432 at Antelope Valley Mall. (Id. ¶ 23.) From March 1, 2020 through October 31, 2020, Mahwoot LLC paid reduced rent to the landlord as specified in the Second Amendment to Lease. (Id. ¶ 24.) After October 31, 2020, Mahwoot's obligation to pay full rent under the Lease resumed. (Id. ¶ 25.) On or about February 2024, Mahwoot ceased making monthly rent payments to Plaintiff. (Id. ¶ 26.) After Mahwoot stopped making rent payments, Mahrouk and Wooten retained the funds that would have been used for rent for their own benefit. (Id. ¶ 29.)

Plaintiff obtained
a judgment for possession and monetary damages in the sum of \$135,092.70
against Mahwoot. (Id. ¶ 34.) However, Plaintiff has been unable to
collect the full amount of rent and damages owed under the lease from Mahwoot.
(Id. ¶ 35.)

On May 15, 2026,
Mahrouk filed the instant demurrer.

On September 8,
2026, Plaintiff filed an opposition.

On September 15,
2026, Mahrouk filed a reply.

II.

LEGAL STANDARD

A demurrer is an
objection to a pleading, the grounds for which are apparent from either the
face of the complaint or a matter of which the court may take judicial notice.
(Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985)
39 Cal.3d 311, 318.) The purpose of a demurrer is to challenge the sufficiency
of a pleading “by raising questions of law.” (*Postley v. Harvey* (1984)
153 Cal.App.3d 280, 286.) “In the construction of a pleading, for the purpose
of determining its effect, its allegations must be liberally construed, with a
view to substantial justice between the parties.” (Code Civ. Proc., § 452.) The
court “‘treat[s] the demurrer as admitting all material facts properly pleaded,
but not contentions, deductions or conclusions of fact or law . . .” (*Berkley
v. Dowds* (2007) 152 Cal.App.4th 518, 525.)

When a demurrer is sustained, leave to amend must be allowed where there is a reasonable
possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18
Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a
pleading can be amended successfully. (*Ibid.*; *Lewis v. YouTube, LLC* (2015)
244 Cal.App.4th 118, 226.)

III.

JUDICIAL NOTICE

Plaintiff request for the Court to
take judicial notice of the following pursuant to

Evidence Code sections 452(d) and 453:

-

Plaintiff's First Set of Requests for Admission,
served on Defendant Razmig Mahrouk on June 16, 2026

-

Exhibit

B: Defendant Razmig Mahrouk's Responses to Plaintiff's First Set of Requests
for Admission, served on July 20, 2026

The Court denies Plaintiff's
request, as the Court cannot make any factual inferences

stemming from Mahrouk's discovery responses, and thus
judicial notice of these documents would be irrelevant. (Garcia v. Sterling (1985) 176 Cal.App.3d 17, 22
(citation omitted) ["A court may take judicial notice of the existence of each document in a court file, but can
only take judicial notice of the truth of facts asserted in documents such as
orders, findings of fact and conclusions of law, and judgments.' "]; Joslin
v. H.A.S. Ins. Brokerage (1986) 184 Cal.App.3d 369, 375 [" 'judicial notice
of matters upon demurrer will be dispositive only in those instances where
there is not or cannot be a factual dispute concerning that which is sought to
be judicially noticed.' "]; see Surfrider Foundation v. California Regional
Water Quality Control Board (2012) 211 Cal.App.4th 557, 569 fn.7 [denying
request for judicial notice where documents were "not relevant to [the court's]
analysis"].)

IV.

DISCUSSION

Mahrouk demurs to each cause of action
alleged in the complaint.

A.

Fraudulent Concealment

“[T]he elements

of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.’ [Citation].” (Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC (2008) 162 Cal.App.4th 858, 868 (Blickman).)

Here, Plaintiff

alleges that “Defendants concealed or suppressed material facts regarding the diversion and transfer of Mahwoot’s assets to themselves, including the timing, nature, and extent of such transfers, which were material to Plaintiff’s ability to collect amounts due under the Lease and to enforce its rights as a creditor. Plaintiff was not informed of these transfers or the Defendants’ intent to render Mahwoot insolvent, and these facts were not reasonably accessible to Plaintiff.” (Compl., ¶ 46.)

i.

Duty to Disclose

“Plaintiff must show that defendant had a duty to disclose” to establish a claim for

fraudulent

concealment. (Huy

Fong Foods, Inc. v. Underwood Ranches, LP (2021) 66 Cal.App.5th 1112, 1121.) Plaintiff alleges a duty to disclose solely based on Defendants’, including Mahrouk’s, “fiduciary obligations as officers, directors, and/or controlling owners of Mahwoot[,] “at a time when Mahwoot was insolvent or in the process of dissolution, thereby owing fiduciary duties to Plaintiff as a creditor[.]” (Id. ¶¶ 47, 73.)

Thus, the question turns on whether Plaintiff has sufficiently alleged a fiduciary relationship between Mahrouk and Plaintiff in order to impose upon Mahrouk a duty to disclose.

In terms

of defining Mahrouk and Plaintiff’s relationship as a landlord-tenant relationship, a fiduciary relationship simply does not exist under the alleged

circumstances. (*Girard v. Delta Towers Joint Venture* (1993) 20 Cal.App.4th 1741, 1749 [“Nothing in the instant record indicates that the relationship between appellant and [Plaintiff] was anything other than a garden variety landlord-tenant relationship in a commercial setting.”]; *Frances T. v. Village Green Owners Assn.* (1986) 42 Cal.3d 490, 513 [“[A] landlord and tenant do not generally stand in a fiduciary relationship.”]; *California Dental Assn. v. Delta Dental of California* (2025) 115 Cal.App.5th 142, 171 [“Rather, her claim arose from an individual, “common law” relationship (akin to a landlord-tenant relationship) with the corporation, and as to that relationship, she was owed no fiduciary duty.”].)

However, Plaintiff attempts to define the relationship between itself and Mahrouk as one between directors of an insolvent corporation and its creditors. Plaintiff invokes the “trust fund doctrine.” (FAC ¶ 73.)

In *Berg & Berg Enters., LLC v. Boyle* (2009) 178 Cal.App.4th 1020, the Court recognized that:

There is no analogous statutory authority in California establishing or recognizing that upon a corporation's insolvency, or more vaguely when it enters into a “zone of insolvency,” directors instead or also owe a duty to the corporation's creditors. And it is easy to see that especially when a corporation is in financial distress, the interests of the shareholders and the corporation itself may inherently collide with those of the creditors, making any respective duties owed by directors to each constituency potentially in conflict and making the scope of each respective duty elusive and difficult to ascertain.

(*Id.* at pp. 1037-1038.)

The Court then grappled with federal and out-of-state authority that dealt with “the question and scope of a duty owed to creditors upon insolvency[.]” (*Id.* at p. 1038.)

The Court then affirmatively stated that “under the current state of California law, there is no broad, paramount fiduciary duty of due care or loyalty that directors of an insolvent corporation owe the corporation's creditors solely because of a state of insolvency[.]” (*Id.* at p. 1041.) And the Court

“decline[d] to create any such duty, which would conflict with and dilute the statutory and common law duties that directors already owe to shareholders and the corporation.” (Ibid.)

Instead, the Court held “that the scope of any extra-contractual duty owed by corporate directors to the insolvent corporation's creditors is limited in California, consistently with the trust-fund doctrine, to the avoidance of actions that divert, dissipate, or unduly risk corporate assets that might otherwise be used to pay creditors claims. This would include acts that involve self-dealing or the preferential treatment of creditors.” (Ibid.)

Here, Plaintiff only alleges conclusory statements that Mahrouk “transferred funds from Mahwoot LLC to themselves without providing consideration to Mahwoot” and Mahwoot “as debtor, made transfers of its assets to Defendants, including the diversion of rent funds and other corporate assets, at a time when Plaintiff was a creditor entitled to payment under the Lease.” (Compl., ¶¶ 30, 52.) These conclusory allegations alone simply are not sufficient to demonstrate that Mahrouk engaged in self-dealing. (See *Berg & Berg Enters., LLC*, supra, 178 Cal.App.4th at p. 1043-1044 [identifying facts that should have been pled to properly invoke the trust fund doctrine, including pleading facts that identified sources of funds or financing through which [insolvent corporation] could have continued to operate even in bankruptcy, and thereby potentially generate profit within the allowed time period, which was necessary to successfully carrying forward and using the net operating losses”].)

Thus, Plaintiff had not properly alleged the applicability of the trust fund doctrine, and thus no fiduciary relationship exists. On this basis, the seventh cause of action for Breach of Fiduciary Duty fails.

While a duty to disclose can also be present in confidential relationships or “when a defendant possesses or exerts control over material facts not readily available to the plaintiff[.]” Plaintiff here has failed to allege such theories. (*Jones v. ConocoPhillips Co.* (2011) 198 Cal. App. 4th 1187, 1199; *Huy Fong Foods, Inc.*, supra, 66 Cal.App.5th at p. 1122 [“A duty to disclose may arise from a confidential relationship. Where there exists a relationship of trust and confidence, it is

the duty of one in whom the confidence is reposed to make a full disclosure of all material facts within his knowledge relating to the transaction in question and any concealment of a material fact is a fraud.”].)

The
demurrer to the first and seventh cause of action is sustained.

B.
Fraudulent
Transfer and Constructive Fraudulent Transfer

Civil Code 3439.04(a)(1) states in
pertinent part: “(a) A transfer made or obligation incurred by a debtor is voidable as to a creditor, whether the creditor’s claim arose before or after the transfer was made or the obligation was incurred, if the debtor made the transfer or incurred the obligation as follows: (1) With actual intent to hinder, delay, or defraud any creditor of the debtor.”

Plaintiff has not
pleaded these claims with any particularity. No transfer or obligation is specified. No fraudulent intent is pleaded beyond boilerplate recitation of the statute. As stated above, Plaintiff alleges in conclusory terms that Mahwoot “as debtor, made transfers of its assets to Defendants, including the diversion of rent funds and other corporate assets, at a time when Plaintiff was a creditor entitled to payment under the Lease.” (Compl., ¶ 52.) Plaintiff further alleges that Mahwoot “made these transfers with actual intent to hinder, delay, or defraud Plaintiff as a creditor, as demonstrated by the badges of fraud present: the transfers were to insiders (Defendants).” (Id. ¶ 53.) There are no specifications that the alleged and ambiguous transfers to Mahrouk were made with an intent to defraud.

The demurrer to
the second and third causes of action is sustained.

C.
Voidable
Transfer

Civil Code

3439.05(a) states in pertinent part: "A transfer made or obligation incurred by

a debtor is voidable as to a creditor whose claim arose before the transfer was made or the obligation was incurred if the debtor made the transfer or incurred the obligation without receiving a reasonably equivalent value in exchange for the transfer or obligation and the debtor was insolvent at that time or the debtor became insolvent as a result of the transfer or obligation."

Also in conclusory terms, Plaintiff alleges that its "claim for unpaid rent arose when the rent came due—before Defendants diverted funds from Tenant to themselves", "[t]he diversions provided no reasonably equivalent value to Tenant", and "Tenant was put into insolvency by these diversions." (Compl., ¶¶ 62-64.)

As stated above, Plaintiff alleges no specified transfers, and no facts to support the conclusion that the "diversions" provided no reasonably equivalent value to Mahwoot or that the diversions caused Mahwoots insolvency.

The demurrer to the fourth cause of action is sustained.

D.
UCL

To set forth a claim for a violation of Business and Professions Code section 17200 ("UCL"), Plaintiff must establish Defendant was engaged in an "unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising" and certain specific acts. (Bus. & Prof. Code, § 17200.)

"The scope of the UCL is quite broad. [Citations.] Because the statute is framed in the disjunctive, a business practice need only meet one of the three criteria to be considered unfair competition." (McKell v. Washington Mutual, Inc. (2006) 142 Cal.App.4th 1457, 1471.) " 'Therefore, an act or practice is "unfair competition" under the UCL if it is forbidden by law or, even if not specifically prohibited by law, is deemed an unfair act or practice.' " (Troyk

v. Farmers Group, Inc. (2009) 171
Cal.App.4th 1305, 1335.)

Plaintiff alleges that “Defendants’ conduct of diverting funds owed to Landlord for personal enrichment while leaving Landlord unpaid and forcing Tenant into insolvency is: (1) substantially injurious to the landlord; (2) unethical and unscrupulous—involving deliberate self-dealing at creditors’ expense; (3) oppressive—the landlord was kept unaware while the entity was drained; and (4) contrary to public policy—California’s public policy as expressed in the Uniform Voidable Transfer Act strongly disfavors transfers that defraud creditors.” (Compl., ¶ 67.)

A cause of action for unfair competition “is not an all-purpose substitute for a tort or contract action.” (Cortez v. Purolator Air Filtration Products Co. (2000) 23 Cal.4th 163, 173.) “Injunctive relief is the primary remedy under the UCL.” (Esparza v. Safeway, Inc. (2019) 36 Cal.App.5th 42, 53.) “As an ancillary remedy, the UCL also authorizes recovery of restitution” (Ibid.)

The Court finds that the fifth cause of action is insufficiently alleged as it seeks damages as a remedy and does not adequately allege an ongoing unfair, unlawful, or fraudulent business act or practice.

The demurrer to the fifth cause of action is sustained.

E.

Constructive Trust

Mahrour is correct that a constructive trust is not a cause of action, but a remedy. (Glue-Fold, Inc. v. Slautterback Corp. (2000) 82 Cal App.4th 1018, 1023 fn.3 [cause of action seeking imposition of a constructive trust is not an independent cause of action but merely a type of remedy for some categories of underlying wrong]; Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 76 [neither resulting trust nor constructive trust are causes of action; trusts are only a remedy].)

The demurrer to the sixth cause of action is sustained.

F.

Intentional Interference with Contractual Relations

The elements of a

cause of action for intentional interference with contractual relations are

“(1) a valid contract between plaintiff and a third party; (2) defendant’s knowledge of this contract; (3) defendant’s intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage.” (I-CA Enterprises, Inc. v. Palram Americas, Inc. (2015) 235 Cal.App.4th 257, 289.)

However, as

Mahrour argues that this cause of action cannot lie on the ground that Mahrour, as the alleged “owner, officer, principal, managing member, and/or managing agent” of Mahwout, cannot tortiously interfere with its own relationship to Plaintiff.

In Kasparian v.

County of Los Angeles (1995) 38 Cal.App.4th 242, the Court, in addressing the tort of interference with contractual relations, stated that the claim “can only be asserted against a stranger to the relationship.” (Id. at p. 262 (italics in original).) “[C]onsistent with its underlying policy of protecting the expectations of contracting parties against frustration by outsiders who have no legitimate social or economic interest in the contractual relationship, the tort cause of action for interference with a contract does not lie against a party to the contract. [Citations.]” (Ibid. (citation omitted).) Explaining that interference with prospective economic advantage and interference with contract are closely related torts – “[t]he latter is merely a species of the former” – the court in Kasparian concluded that “the same rationale should also bar prosecution of the tort of interference with prospective economic advantage against a party to the relationship from which the plaintiff’s anticipated economic advantage would arise.” (Ibid.)

Similarly, the Court in Kruse v.

Bank of America (1988) 202 Cal.App.3d 38 stated that “wrongful interference with one’s own business ... cannot serve as the basis of the claimed tort liability.” (Id. at p. 66; see also Applied Equipment Corp. v. Litton Saudi Arabia Ltd. (1994) 7 Cal.4th 503, 514 [concerning the related tort of

interference with contract, “[t]he tort duty not to interfere with the contract falls only on strangers—interlopers who have no legitimate interest in the scope or course of the contract’s performance.”] (emphasis added).)

However, the Court in *Woods v. Fox Broad. Sub., Inc.* (2005) 129 Cal.App.4th 344 cited *Kasparian* and explicitly refused to extend its holding to mean “that some of the individual owners of a business entity are automatically deemed to be exempt from contract interference liability because their economic interest in the entity means they are not strangers to any of the entity’s contractual obligations.” (Id. at p. 353-354 [allowing a tortious interference claim to proceed “where a powerful shareholder allegedly interferes in a contract between the corporation whose shares it owns and some other person or entity”].) In sum, “our courts have allowed contract interference claims to be stated against owners, officers, and directors of the company whose contract was the subject of the litigation. While those defendants may attempt to prove that their conduct was privileged or justified, that is a defense which must be pleaded and proved.” (Id. at p. 356.)

While Mahrouk is the alleged owner and agent of Mahwoot and it is Mahwoot who is the party to the Lease, that does not automatically mean that Mahrouk is completely immune from a tortious interference claim premised on the Lease between Mahwoot and Plaintiff. However, as explained above, Plaintiff has not sufficiently alleged what the interference actually was. Plaintiff solely alleges that Defendants, including Mahrouk engaged in ambiguous “acts designed to induce a breach or disruption of the Lease, including deliberately preventing Mahwoot LLC from making rent payments to Plaintiff and retaining rent funds for their own benefit.” (Compl., ¶ 79.)

The demurrer to the eighth cause of action is sustained.

V.

CONCLUSION

Based on the foregoing, Mahrouk’s demurrer is SUSTAINED in its entirety with thirty

(30) days leave to amend.

Dated this 22nd
day of September 2026

Hon. Gary
D. Roberts

Judge
of the Superior Court